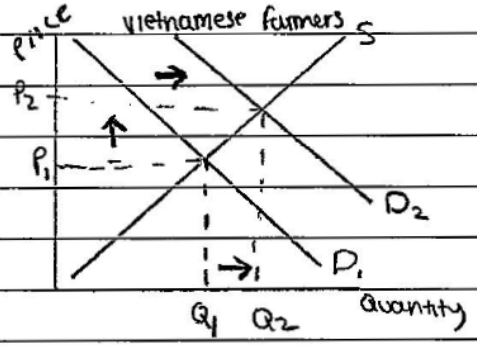
* 1

a) Debt servicing refers to third parties who pay off national debts for interest over time until ~~their~~ they recieve their money back.

ii) A gini coefficient is a measure of a countries equity in income, which is obtained by calculating The ~~distance~~ deviation from perfect income distribution curve to a countries curve on the lorenz curve.

b)i)



As shown by the diagram above, after improved access to Japanese Market, Vietnamese farmers experience an influx in demand, ~~allowing~~ influencing a rise in price which generates them much more revenue.

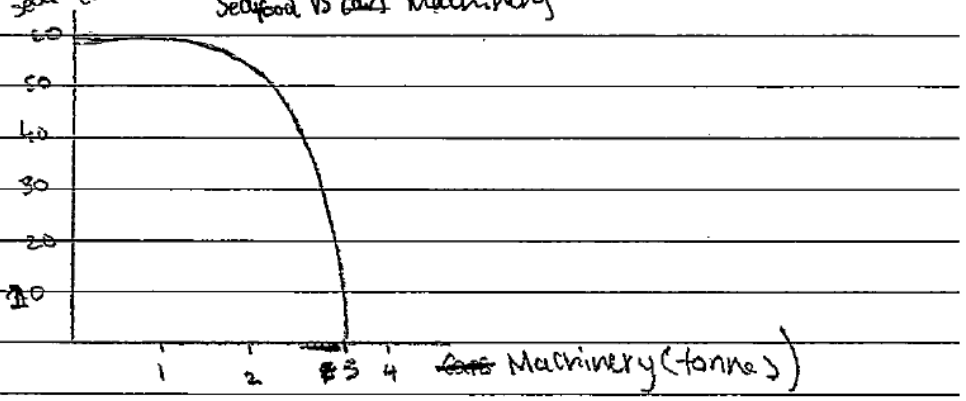
b)ii) 2015 2011 5991-2610

15141 - 12531 = 2610 22,475 - 16494 = 5991

Between 2015 and 2019 there was a 3,381 (US million $) increase in the surplus of Vietnam's balance of trade in goods with Japan.

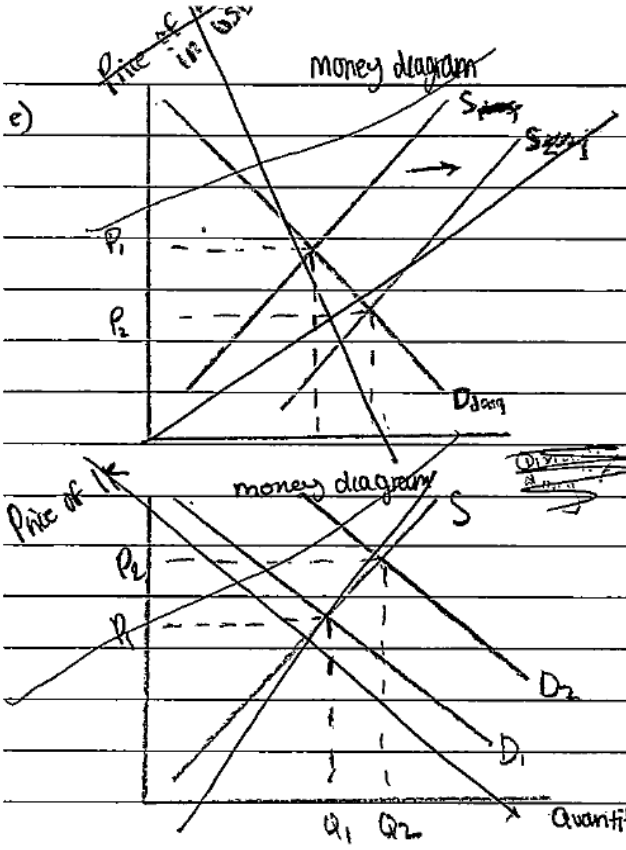
c) Smaller farms in Vietnam cant quite reap the full advantages of economies of scale, ~~when~~ as opposed to bigger farms. Smaller farms may not be able to ~~can't~~ mass produce their crops due to their reduced size and therefore ~~have~~ may have higher costs of production. Moreover due to their ~~not~~ relatively smaller production and profits, small farms may have more difficult time improving logistical economies of scale, when exporting to Japan.

d) PPC diagram



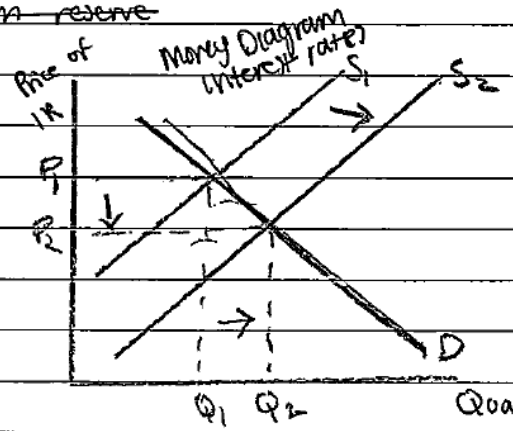
As shown in the PPC diagram above it's evident why vietnam would export seafood ~~to~~ japan, and japan machinery ~~cars~~ to vietnam. Both countries have comparative advantage in their respective industries. This means they produce such goods at a lower opportunity cost than the other. For example in the PPC above Vietnam can produce over 60 tonnes of seafood at a ~~relat~~ low opportunity cost of only 3 tonnes of machinery ~~cars~~, therefore it would be in the nations best interest to continue producing seafood, due to it's comparative advantage.

e)



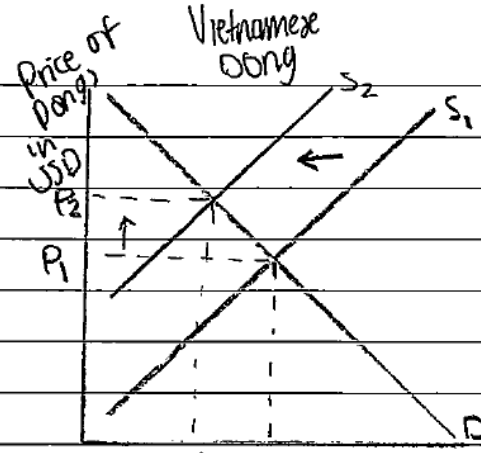
~~As shown on the diagram above a reduction in the minimum reserve~~

e)



As shown in the diagram above ~~a increase~~ a reduction in the minimum reserve requirement for banks ~~[redacted]~~ would increase the supply of interest ~~rates~~ from Q_1 to Q_2 as banks would now ~~be able to~~ have much more disposable money to use and loan. As a result of heightened supply price would consequently fall from P_1 to P_2.

f)



~~Vietnam~~

The Vietnamese General Bank can effectively prevent the depreciation of the dong by using it's reserve assets. Essentially by using reserve assets such as foreign currencies to purchase large amounts of Vietnamese dong, the supply of the dong decreases substantially, ~~raising it's relative~~ appreciating the price of the currency. This can be seen in the graph above where the decrease in Quantity of Dongs ~~are~~ from Q_1 to Q_2 influences a rise in the relative price of the dong in USD (P1 to P2).

International trade refers to the ~~exchange~~ importation and exportation of (goods ~~and services~~) around the world. Foreign Direct investment refers to the direct investment of money, by another nation into a particular sector or industry. Vietnam is a country in eastern Asia which conducts both international trade and foreign Direct investment with Japan. ~~In many ways~~ Both trade and FDI present distinct advantages and disadvantages to Vietnams economic development, which must be considered before coming to a conclusion

~~In many ways~~, The view that trade with Japan is better for ~~Japan~~ Vietnam than FDI from Japan is valid. Ever since one nation began to partake in International trade, the percentage of people with an income of less than ~~US~~ US $ 1.90 a day declined from 38% in 2002 to less than 2% in 2018. However the nations unsustainable exploitation of natural resources, such as land, fisheries and timber for trade, could be negatively affecting prospects for long-term growth. to a small extent

On the other hand FDI, has been and continues to be imperative for Vietnam's economic development. There seems to be a direct correlation between rising GDP and increasing FDI. In 2015 there was FDI of 11.8 billion USD$, ~~hence~~ and a GDP growth rate of 4.77%. As FDI

increased to 15.5billion in 2018, GDP growth rose to 6.90% in 2019. Japan is the biggest Provider for FDI in Vietnam, Japanese firms and aid agencies are financing large scale unprastructure, healthcare, ~~and~~ education and environmental projects in Vietnam. ~~[redacted]~~ Japanese FDI has in some ways been ~~very~~ benefical to development in Vietnam, with the nation experiencing rapid rises in life expectancy ~~and improvements in equity, as reflected by improving~~

However it can be argued that Japanese FDI in Vietnam is more benefitial to Japanese firms than Vietnam. The profit maximizing Japanese firms are relocating to ~~Japan~~ Vietnam to exploit low wages, and since they are being subsidized by the Japanese Gov't, Vietnamese companies won't be able to compete. In fact ever since Japanese FDI began, the Gini coefficient increased reflecting how there is more economic inequality and wage disparities in the country. Moreover Japanese firms are catalyzing the damage and exploitation of Vietnamese natural resources by funding the construction of coal fired power plants. ~~Whereas trade is much m~~ It could be stated that trade is much more benefitial to Vietnam than FDI. As trade negotiations between Vietnam and Japan have progressed, Vietnamese lychee farmers have been able to access the japanese market, increasing their number of consumers and significantly improving their revenue. This rise in disposable income has undoubtedly improved the quality of life of Vietnamese lychee farmers. Moreover as Vietnamese ~~[redacted]~~ quality of life has improved over time net bilateral aid flows from Japan have decreased perhaps suggesting that ~~the~~ FDI isn't benefitting ~~Vietnamese~~ Vietnam as much as it initially

appears.

Ultimately the view that trade with Japan is more beneficial for Vietnamese economic development than FDI, is valid to a medium extent. Although trade has certainly been paramount to Vietnamese economic development and in increasing income disparities, Japanese FDI is stimulating economic growth significantly. Moreover the improvements to infrastructure and education in the long run due to FDI will undoubtedly improve the countries development in the long Run. However it could be argued that Japanese FDI is exploiting Vietnamese labour costs, catalyzing environmental damage, and increasing inequality. Therefore simultaneously hindering economic development in Vietnam.